higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

NEW VENTURE CREATIONS
NQF LEVEL 2

(3011032)

14 March 2019 (X-Paper)
09:00–12:00

This question paper consists of 13 pages.

NCV

TIME: 3 HOURS
MARKS: 150

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.25) in the ANSWER BOOK.

1.1.1 A … is a form of ownership with a maximum number of ten members.

A sole proprietorship
B partnership
C private company
D close corporation

1.1.2 Mining, agriculture and fishing, are good examples of the ... sector.

A primary
B output
C secondary
D tertiary

1.1.3 A … advantage is something that a business does so well that it is difficult for other businesses to copy.

A price
B competitive
C competing
D skill

1.1.4 Attitudes and personal … are other factors that influence how people buy.

A values
B information
C qualifications
D desires

1.1.5 The … market is the group of customers who are most likely to buy your product/service.

A supplier
B stock
C target
D production

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1.1.6 The 'W' in SWOT analysis stands for?

A Winning
B Want
C Weaknesses
D World

1.1.7 The need to satisfy hunger or thirst is called …

A security need.
B physiological need.
C social need.
D self-actualisation need.

1.1.8 A … is a detailed financial plan of what is most likely going to happen in the future.

A balance sheet
B cash-flow statement
C profit
D budget

1.1.9 The value that fixed assets lose over time while they are being used in the business.

A book value
B current assets
C depreciation
D accumulation

1.1.10 The quantity of goods required at a specific time, place and at a specific price is called a …

A supply.
B demand.
C need.
D want.

1.1.11 An example of a fixed asset:

A rent
B vehicle
C stationery
D wood

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1.1.12 Which of the following is an example of a government organisation?

A Unilever
B KPMG Services Proprietary Limited
C Technical and Vocational Education and Training institutions
D Clover SA (PTY) LTD

1.1.13 All the steps that a product undergoes from being a raw material until it is used is known as the …

A selling process.
B buying process.
C value chain.
D distribution channel.

1.1.14 One of the following is a characteristic of a service:

A Intangible
B Feel
C Taste
D Tangible

1.1.15 The external factors that influence the business are called …

A strengths and weaknesses.
B weaknesses and opportunities.
C opportunities and threats.
D strengths and threats.

1.1.16 A method of collecting primary data that is widely used.

A bar graph
B survey
C pie chart
D pamphlets

1.1.17 South African Revenue Service (SARS) is a … body which makes sure that all business adheres to strict guidelines for paying tax.

A professional
B regulatory
C association
D general association

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1.1.18 The process of selling, advertising and promoting a product is called …

A pricing.
B planning.
C branding.
D marketing.

1.1.19 Loss in business result when …

A expenses are equal to income.
B income exceeds expenses.
C expenses are more than income.
D opening stock is added to closing stock.

1.1.20 … is when the business income is equal to business expenditure.

A Unit cost
B Equilibrium
C Break-even point
D Profit

1.1.21 The aim of running a business is to …

A make a profit.
B help the poor.
C be famous.
D create employment.

1.1.22 … are valuable possessions of the business.

A Fixed assets
B Papers
C Liabilities
D Direct costs

1.1.23 The name given to assets that are pledged to a lending institution as a guarantee that a loan will be paid is called …

A vehicles.
B collateral.
C movable assets.
D equipment.

1.1.24 … facilities allow you to draw money from your account even when there is not enough money.

A Overdraft
B Loan
C Economy
D Industrial

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1.1.25 A/An … is a person who purchases goods and services for personal use.

A entrepreneur
B consumer
C producer
D government

(25 × 1) (25)

1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.2.1–1.2.25) in the ANSWER BOOK.

1.2.1 Limited liability means that the owners of a business are responsible for business debt only to the extent of the investment they have made in the business.

1.2.2 Private companies usually offer their shares to the public.

1.2.3 Survey, observation and experiment conducted by you as an entrepreneur are used in collecting primary data.

1.2.4 It is important for a new venture business to know the basic needs of people from different socio-economic groups.

1.2.5 Variable costs remain the same no matter how many units are produced.

1.2.6 The principle of demand states that if goods are supplied at a higher price people will demand less and if goods are supplied at a lower price, people will demand more.

1.2.7 A close corporation is restricted to a maximum of 50 members.

1.2.8 Indirect overheads are not directly related to a company's production of goods or provision of services to customers.

1.2.9 A questionnaire is another method of conducting a survey.

1.2.10 Consumer needs, wants and demands are constant and do not change over time.

1.2.11 Competition between companies leads to lower prices.

1.2.12 Sociological factors are issues that arise in the community and cause a surge of activity for or against certain products or business.

1.2.13 Customer superstitions are also factors that could prevent people from buying your product.

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1.2.14 A business plan creates an outline for the way in which you will run your business.

1.2.15 A good customer survey will help you to identify customer expectations.

1.2.16 Current liabilities are loans repayable over a period of more than ONE year.

1.2.17 Want, is something that one cannot live without.

1.2.18 People who have bought shares in a company are referred to as partners.

1.2.19 VAT is tax which by law is added on to the price of goods and services.

1.2.20 Customers fulfill status and esteem needs by buying personal and luxury items such as expensive cars.

1.2.21 Mortgage loan/bond is one of the examples of current assets.

1.2.22 It is optional to consider your target market when advertising your product/service.

1.2.23 Primary data is the information other people have collected about your target market.

1.2.24 Branding is a possible way of generating ideas.

1.2.25 Growth capital is the money used to expand the business.

(25 × 1) (25)
[50]

TOTAL SECTION A: 50

NCTD

SECTION B

QUESTION 2

Read the extract below and answer the questions.

KATE'S BOUTIQUE

Kate's Boutique, has been established for more than two years and has developed a range of exclusive branded ladies' clothes. The boutique is situated in an upmarket mall and attracts a market of young executives and working women. Kate started her business using money that she won from the lottery which was R 206 000. She only used R120 000 to buy materials and pay for other pre-operating costs. Although she did not study, she has a competitive advantage because of her exceptional talent.

Her monthly business expenses are as follows:

Rent	R 6 000
Salaries	R 4 800
Telephone	R 400
Electricity	R 600
Petrol	R 800

2.1 What form of ownership is this business? (1)

2.2 Discuss THREE advantages of a *partnership*. (6)

2.3 Identify TWO *strengths* Kate has which contribute to the success of her business. (4)

2.4 Briefly explain THREE methods of *collecting primary data* which Kate can use to gather more information for her business. (9)

2.5 From the monthly expenses of Kate's Boutique, identify TWO fixed and THREE variable costs. (5)

[25]

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QUESTION 3

3.1 Marketing of goods and services have some essential differences.
Complete the table below regarding the *differences in marketing goods and services.* Write the correct answer next to the question number (3.1.1–3.1.4) in the ANSWER BOOK.

Differences between marketing goods and services.

	Goods	**Services**
Product	Designed, manufactured and packaged to meet customers' needs and expectations.	**3.1.1**
Price	**3.1.2**	Related as much to quality as the customer's willingness to pay.
Promotion	**3.1.3**	More likely to be promoted by word of mouth and recommendation.
Point of sale	Usually distributed to point of sales where customers can inspect them before buying.	**3.1.4**

(8)

3.2 Give ONE word/term for each of the following descriptions by choosing a word/term from the list below. Write only the word/term next to the question number (3.2.1–3.2.6) in the ANSWER BOOK.

fixed assets; petty cash; cash flow; source documents; current assets; total sales; current liabilities

3.2.1 Counters, display stands, stove, fridge

3.2.2 Receipts, invoices, cash register slips

3.2.3 Stock, cash in the bank, money owed by debtors

3.2.4 Creditors, bank overdraft

3.2.5 Capital to pay day-to-day costs

3.2.6 The total of all business income

(6 × 1) (6)

3.3 Identify TWO factors that influence Kate's Boutique's products *pricing*. (2)

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3.4 Complete the cash flow budget for Kate's Boutique. Write only the missing FIGURE next to the question number (3.4.1–3.4.6) in the ANSWER BOOK.

CASH BUDGET FOR KATE BOUTIQUE		
	SEPTEMBER	**OCTOBER**
Bank balance @ the beginning of the month	R 46 000	**(3.4.4)**
INCOME		
Cash Sales	R 23 000	R 19 000
Credit Sales	R 8 000	R 3 500
Other Income	R 2 000	R 1 500
TOTAL RECEIPTS	**(3.4.1)**	**(3.4.5)**
PAYMENTS		
Cash Purchases	R 18 000	R 14 000
Monthly Expenses	R 7 200	R 7 200
Other Payments	R 3 000	R 1 000
TOTAL PAYMENTS	**(3.4.2)**	**R 22 200**
Bank balance @ the end of the month	**(3.4.3)**	**(3.4.6)**

(9)
[25]

QUESTION 4

4.1 Name TWO methods for managing and controlling budgets. (2)

4.2 Name FOUR participants that play an important role in the national economy of South Africa. (4)

4.3 Name FOUR *basic principles of trade* (activities) that Kate's Boutique have in common with other businesses. (8)

4.4 Give TWO benefits that Kate's Boutique can enjoy by becoming a member of a professional body. (2 × 2) (4)

4.5 Kate bought three (3) pairs of shoes at a cost R 210,00 per pair and two (2) dresses for R199,99 per dress.

Calculate the total cost of Kate's purchases. (5)

4.6 Explain the concept *mark up*. (2)
[25]

QUESTION 5

Read the business card below and answer the questions.

PRETTY'S BEAUTY SALON



Life isn't perfect but your hair can be.
Contact: Pretty
070 123 4567

5.1 Is Pretty offering a product or a service? (1)

5.2 Study the following pictures and categorise them according to PRODUCT or SERVICE. Write only PRODUCT or SERVICE next to the question number (5.2.1–5.2.4) in the ANSWER BOOK.

5.2.1



5.2.2



5.2.3



5.2.4



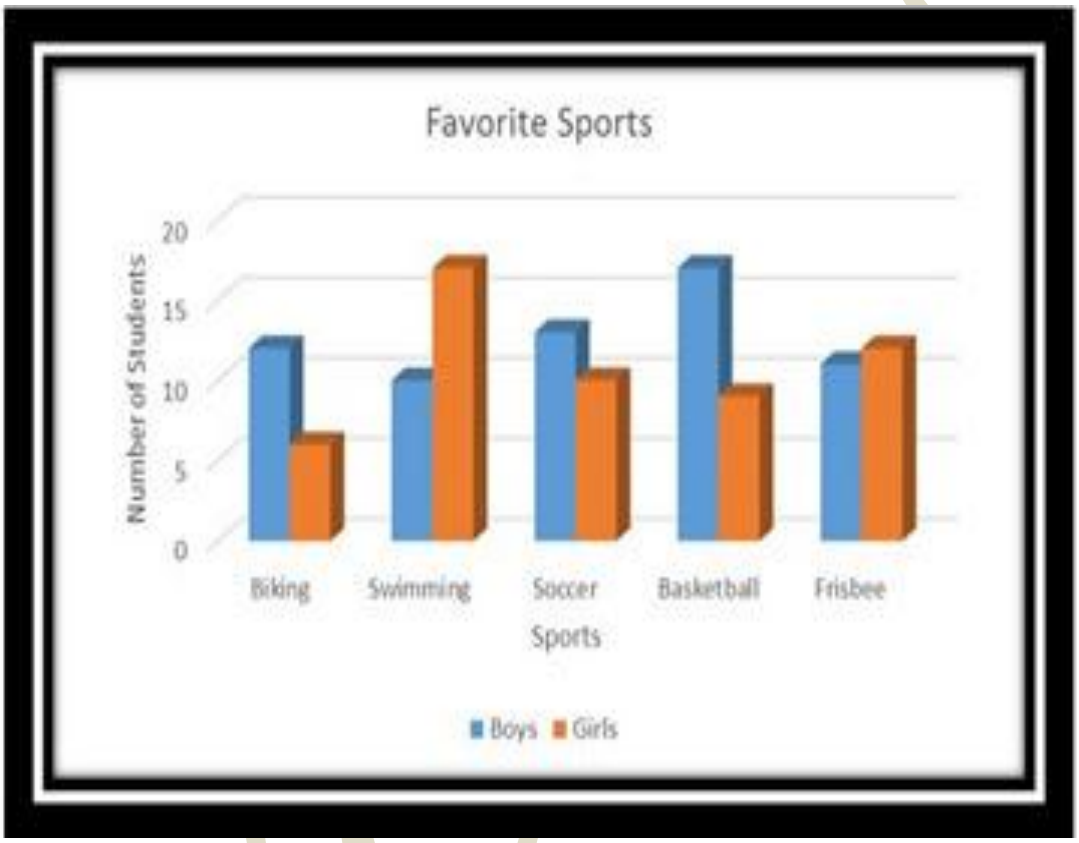
(4 × 1) (4)

5.3 Briefly explain FOUR factors that could prevent people from using Pretty's Beauty Salon. (8)

5.4 Pretty's net profit increased by 15% in 2017. Her net profit for 2016 was R30 000.

Calculate her net profit for 2017. (4)

5.5 Study the bar graph and answer the questions that follow:



(https://www.google.co.za)

5.5.1 Which segment of the market is targeted? (2)

5.5.2 Motivate your answer in 5.5.1. (2)

5.5.3 Briefly explain how this information can be used to the advantage of a sports business. Give TWO advantages. (4)

[25]

TOTAL SECTION B: 100
GRAND TOTAL: 150

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